

Annual Valuation Report

July 1, 2025 - June 30, 2026

DEERFIELD BEHAVIORAL HEALTH OF WARREN LLC 403(B) PLAN
800643

Failed Compliance Testing

Excess Return Notice

Current method testing: Instead of returning excess contribution an employer may make a Qualified Non-Elective Contribution (QNEC) to Non-Highly compensated employees (NHCE's). The amount of the QNEC that is required to pass the ACP test is \$X,XXX,XXX.XX. Please contact your local regional office representative to let them know if you choose this option for a breakdown per participant.

The corrective action necessary in the case of a failure of the ACP nondiscrimination test is to return Excess Aggregate Contributions (Employer Match) to the appropriate Highly Compensated Employees. The actual amounts refunded have been adjusted to include any positive or negative earnings that are attributed to this excess contribution.

A 10% withholding tax will apply unless we receive a Form W-4R informing us that you either do not want any tax withheld or want an additional amount of tax withheld. You can obtain a copy of the W-4R at <https://www.irs.gov/pub/irs-pdf/fw4r.pdf>.

Please note that the Employer is subject to a 10% excise tax on returns made after September 14, 2026. If your plan is an Eligible Automatic Contribution Arrangement (EACA), the 10% excise tax applies to returns made after December 30, 2026.